Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.C.A DEGREE EXAMINATION APRIL 2021

ACMCA402 – COST AND MANAGEMENT ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is costing?
2. Define Cost Accountancy
3. What are the tools used in Management Accounting any four
4. What are the important Techniques used for analysing and interpreting the Financial Statement
5. State any two general utility of ratio analysis
6. What is Dividend yield ratio?
7. How will you decide a particular component is better to make or buy?
8. List any two uses of Marginal costing
9. What is Cash out flow and inflow?
10. What is Internal Rate of Return?

SECTION – (B 5x5 = 25)

Answer **any FIVE** Questions

11. The following data and information relating to a factory for the year 2015 are available.

Materials Consumed	Rs. 2,00,000
Direct Wages	Rs. 1,50,000
Factory on cost	90,000
Office on Cost	88,000

Based on the above data, find out the cost of a job to be done in March 2016

Materials required	Rs. 20,000
Wages for the job	Rs. 15,000

12. From the following financial Position statement of Beta Ltd. For the year ending 31st March 2014 and 2015 prepare a common size Statement

Assets	2014	2015
Cash	27,000	31,500
Debtors	2,20,000	2,11,000
Stock	1,00,000	1,26,000
Prepaid Expenses	11,000	21,000
Bills Receivables	10,000	10,500
Fixed Assets	6,35,000	6,50,000
Total	10,03,000	10,50,000
Liabilities and Capital		
Share Capital	6,58,000	7,00,000
Long term Debt	2,25,000	2,00,000
Sundry Creditors	42,000	50,000
Other Liabilities	78,000	1,00,000
Total	10,30,000	10,50,000

13. Trader Sales goods both on cash and credit terms. The following particulars are obtained from the books:

Total Sales	2,00,000
Cash Sales	20,000
Return inward	34,000
Debtors at the beginning	60,000
Debtors at the end	80,000
Bill Receivable at the beginning	50,000
Bills Receivable at the end	30,000
Average Provision for Bad Debts	5,000

Calculate Debtors Turnover Ratio and Average Collection period.
What price will be quoted for the job, if a profit at 20 % on selling price is required?

14. The following details relate to the manufacture of two products J & K.

	Product J	Product K
	Rs. Per unit	Rs. Per unit
Selling Price	100	120
Material @ Rs.10 per kg	30	50
Direct Wages @ Rs.4 per hour	32	24
Overhead Variable	6	11
Fixed Overhead Rs.14,000		

Which of the product would you recommend when total salesf potential in rupee terms is limited?

15. A Private limited company is planning to acquire a machine. In the market there are two machines available each costing Rs.50,000. Find the Discounted payback period and recommend at 10% level of Discount factor.

Year	Machine X	Machine Y	10% Discount Factor
	Cash inflow in Rs.	Cash inflow in Rs.	
1	15,000	5,000	0.909
2	20,000	15,000	0.826
3	25,000	20,000	0.751
4	15,000	30,000	0.683
5	10,000	20,000	0.621

16. Differentiate cost accounting from costing

17. What are the conditions must be satisfied by an investment appraisal method

SECTION – C (3x10 = 30)

Answer any **THREE** Questions

18. Tele buy Ltd., manufactures sewing machines. It finds that in 2015, it cost Rs. 7,20,060 to manufacture 175 sewing machines, which it sold for Rs.5,400 each. The cost was made up of:

	Rs.
Materials	2,70,000
Direct Wages	3,36,000
Factory Overhead	48,600
Office overhead	65,460

For the year 2016, it is estimated that:

1. Each sewing machine will require materials of Rs.1,600 and labour of Rs.1,800
2. Factory overhead will bear the same relation to wages as in the previous year
3. Office overhead percentage of factory cost will be the same as in the past.

You are required to prepare a statement showing the profit it would make per sewing machine if the price of the swing machine were increase by Rs.400

19. From the following information, make at a Statement of Financial Position with as much detail as possible:

Current Ratio	1.75
Liquid Ratio	1.15
Fixed Assets to Proprietors' Fund ratio	0.75
Working Capital	Rs. 75,000
Reserves & Surplus	Rs. 1,00,000
Bank Overdraft	Rs. 60,000

There is no Long term loan or fictitious assets

20. From the following data you are required to calculate:
    a) The Marginal cost of product X and Y and Contribution per unit
    b) The contribution of profits resulting from each of the suggested sales mixes and the best combinations thereof.

Particulars	Product X Rs.	Product Y Rs.
Direct material per unit	32	24
Direct Wages per unit	8	6
Sales price per unit	56	46

Fixed Expenses total Rs.4,000 and Variable Expenses 100 per cent on Direct wages per product.

suggested sales mixes:

	X in units	Y in units
1	300	600
2	400	400
3	600	300

21. Rama Ltd. Is planning to purchase a machine for Rs.1,50,000 which is likely to generate the following earnings in the next five years.

Year:	1	2	3	4	5
EBDT (Rs.)	50,000	55,000	60,000	62,000	65,000
PVF at 12%	0.893	0.797	0.712	0.636	0.567

The purchase of machine would result in an increase of working capital by Rs.15,000. The machine will be depreciated on straight line method and will have a salvage value of Rs.25,000. Corporate tax rate is 50%. Should the machine be purchased if the cost of capital is 12%. Use Net Present Value Method.

22. What are the advantages and limitations of Management Accounting?

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